MCCARREN ADVISORY GROUP

SUCCESSION PLANNING GUIDE

The Succession Readiness Guide

A practical roadmap to transition on your terms — by sale, family, or management.

A field guide from

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START HERE

Succession isn't an event. It's a runway.

Most owners picture succession as a single day — the sale closes, the keys get handed over, the party happens. In reality it's a runway you build over years. The owners who transition on their own terms started early; the ones who got forced into a bad deal usually waited until health, burnout, or an unsolicited offer made the decision for them.

You're not alone if you don't have a plan yet. Across recent national surveys, somewhere between **a third and two-thirds of business owners have no documented, communicated succession plan** — even though most say passing on or cashing out the business is central to their life's work. The gap between intention and preparation is enormous, and it's expensive.

Four ways out — pick with intention

A

Sell to a third party

A strategic buyer, competitor, or private-equity group. Highest potential price, highest scrutiny — transferability and clean numbers decide the multiple.

B

Transfer to family

Keeps the legacy in the family, but demands a ready successor, fairness across heirs, and years of runway to hand off both authority and knowledge.

C

Sell to management or employees

A management buyout or employee ownership rewards the people who built it with you and preserves culture — if you've developed leaders who can carry it.

D

Step back and hold

Move from operator to owner: install leadership, keep the income, reclaim your time. Often the bridge that makes options A–C stronger later.

Every path runs through the same gate

Whatever route you choose, it depends on one thing: a business that runs — and is worth more — without you. Transferable value is the foundation under all four doors.

THE METHOD

Three stages to a confident transition

You don't professionalize a company and prepare an owner to leave in one leap. It happens in three stages — each one making the business stronger today and more transferable tomorrow, whether you sell next year or in ten.

1. **Assess the dependency**
   Find where you're the single point of failure and what only lives in your head. A written risk map and readiness score turns a vague worry into a concrete list of what to fix first.

2. **Build the bench & the systems**
   Develop a real #2, distribute decision rights, and document the processes so the company runs without you. This is the stage that quietly moves the valuation needle.

3. **Prepare the transition**
   Choose the path, ready the numbers and the story, line up the right attorney and accountant, and prepare for diligence — so the business is worth more *and* genuinely sellable.

> **“I'd rather help an owner get ready early than watch a good company struggle because no one planned. The best time to build the runway is well before you need to take off.”**
>
> SHAUN MCCARREN, MCCARREN ADVISORY GROUP

A ROUGH RUNWAY — WHAT TO DO, AND WHEN

5+ years out: reduce owner dependency, develop a successor, clean up financial reporting. **2–3 years out:** professionalize operations, formalize governance, address transferable value and any diligence red flags. **1 year out:** assemble your advisory team, finalize the path, prepare the numbers and the story, and go to market from a position of strength.

SCORE YOURSELF

The Succession Readiness Checklist

Check what's true today. The unchecked boxes are your roadmap — and the earlier you start on them, the more choices (and value) you keep.

YOU, THE OWNER

- [ ] I've named a **target timeline** for stepping back — even a rough one.
- [ ] I know which **exit path** (sale, family, management, or hold) fits my goals.
- [ ] I have a clear picture of the **income and lifestyle** I need after transition.

YOUR PEOPLE

- [ ] A **successor or #2** is identified and actively being developed.
- [ ] Leadership can **run the business** for a month without me.
- [ ] Key relationships and knowledge **aren't locked in one person**.

YOUR BUSINESS

- [ ] Core processes are **documented and repeatable**.
- [ ] We've addressed obvious **transferability and risk** issues.

YOUR NUMBERS & YOUR PLAN

- [ ] Financial reporting is **clean, timely, and would survive diligence**.
- [ ] My **estate, buy-sell, and ownership documents** match my intentions.
- [ ] I have the right **advisory team** (attorney, accountant, advisor) in place.
- [ ] There's a **written plan** — not just ideas in my head.

WHERE TO GO FROM HERE

You don't have to figure this out alone

I'm Shaun McCarren, and I'm a family-business owner myself — I've run a company, met a payroll, and lived the same highs and lows you do. I started McCarren Advisory because I've watched how easy it is to put off these conversations, and how much harder that makes things for the people you love and for the business you built.

Part succession planner, part hands-on advisor, I fill the gap that usually sits between your attorney and your accountant — the person who actually helps you build the plan and then execute it. I come from manufacturing, automation, and finance, so I fix what's really holding value back, then build the path to a confident transition.

Start with a confidential conversation

No pitch, no pressure — 30 minutes to understand your situation and tell you honestly if and how I can help. Most owners start with a low-cost Readiness Assessment: a walkthrough, a few management interviews, and a written risk map and roadmap you keep either way.

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